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Popular Democratic Movement

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# CONTRIBUTION BY HON. INNA HENGARI ON THE 2024 MID-TERM BUDGET REVIEW INTRODUCED BY THE MINISTER OF FINANCE AND PUBLIC ENTERPRISES

Honorable Speaker,

Honorable Members of Parliament,

Fellow Namibians,

I rise today to respond to the Mid-Year Budget Review as tabled by the Hon. Shiimi, which, while acknowledging our economic predicaments, lacks the bold steps needed to break free from the cycles of poverty, stagnation, and economic dependency that grip Namibian households. As a House, we must ask ourselves: does this review offer a real, transformative path for Namibians, or is it merely a patchwork of adjustments that will keep our citizens perpetually on the edge of survival?

The global economic landscape, as projected by the International Monetary Fund, anticipates a modest growth rate of 3.2% for both 2024 and 2025—a minor dip from the 3.3% of 2023. While this outlook rests on hopes of global disinflation and adjustments in monetary policy, we cannot afford to place our trust in optimistic forecasts alone. The world economy stands on precarious ground, threatened by volatility in commodity prices that could wreak havoc on vulnerable economies like ours, by escalating regional

Regionally, with sub-Saharan Africa's growth forecast holding steady at 3.3% for 2023 and 2024 and expected to rise to 4.2% in 2025, Namibia sits at a crossroads. This outlook presents both an opportunity and a challenge: can we harness economic cooperation within the Southern African Customs Union (SACU) to fortify our economy, or will we be swept aside by a regional dynamic that may serve some while excluding others? I must also mention here, that my undergraduate thesis was on The Impact of Regional Integration in Southern Africa with a special focus on Namibia's Industrial Development through its membership to SACU. So yes, not only am I a graduate of the Political Sciences but I am also a graduate of Economics.

The choices we make now will determine whether Namibia claims its rightful place in the regional economic landscape or continues to contend with marginal gains amidst formidable pressures.

On the upside, if economies in Customs Union are growing, there could be greater demand for Namibian goods, boosting trade, jobs and income in Namibia. On the downside, steady or moderate growth also suggests that big changes may not happen immediately, meaning Namibia needs to stay competitive and productive to benefit from this environment. In short, steady growth in the region might help Namibia economically, but it also means Namibia has to stay on its toes to maximize these benefits.

Honorable Speaker, allow me to commend the Minister for the fiscal discipline demonstrated in the past financial year. The actual budget deficit of 2.4% of GDP for FY2023/24 is a significant improvement from the revised projections of 3.2% and the 5.2% recorded in the preceding financial year. This fiscal consolidation is crucial for our long-term

conflicts, and by a looming slowdown in the Chinese economy, which would reverberate through global markets.

Moreover, the rise of protectionist policies poses a serious risk to Namibia's trade-driven growth, potentially undermining our economic stability. We must be acutely aware of these risks and act decisively to protect our people and economy from the impacts of global instability rather than waiting for them to reach our shores.

Of particular concern is the weakness in the diamond sector, which has significantly impacted our revenue projections. The Minister has reported a downward revision of expected revenues from the diamond sector by more than N$2.3 billion for FY2024/25. This vulnerability to commodity price fluctuations underscores the urgent need for economic diversification to reduce our dependence on extractive industries.

On the domestic front, while our economy shows commendable resilience amid global vulnerabilities and severe weather conditions, we must confront the reality behind the revised growth forecast: a tempered 3.6% for 2024, with hopes for a climb to 5.4% in 2025. This downward revision from earlier forecasts is a stark acknowledgment of the serious weaknesses in our diamond sector and the crippling effects of drought on agricultural production. These numbers, however, are not merely statistics; they signify a call to action to protect and rejuvenate critical industries that underpin our economic stability.

Yes, the secondary and tertiary industries show promise, bolstered by gains in electricity and water generation alongside strong consumer demand. But this budding diversification cannot afford complacency—we must urgently amplify our investments and policy support in these sectors if we are to achieve resilient, long-term growth.

those at the top?

2. **Drought relief programs—are they reaching the people who need them most, or do they vanish into layers of bureaucracy?** While drought is a recurring tragedy for Namibia, are we truly prepared to act, or will our citizens in rural and remote areas once again bear the brunt, deprived of timely and effective assistance? What mechanisms are in place to ensure drought relief is delivered transparently, accountably, and directly to those suffering?
3. **With key sectors like mining and agriculture underperforming, where is the proactive vision to unlock new economic engines?** This budget review seems to depend on hope rather than actionable strategy. What targeted interventions are in place to diversify our economy? Where is the support for sectors that can stimulate real job creation, secure incomes, and reduce our reliance on external forces?
4. **For indebted households, what relief is being proposed beyond promises and projections?** Namibians are trapped under personal debt at levels that cripple their economic mobility and well-being. While we boast of a 'stabilized' debt-to-GDP ratio, how do we reconcile that with the crippling debts weighing down households? What tangible support mechanisms are in place to free citizens from this cycle of financial bondage?
5. **Where is the immediate action for small and medium enterprises (SMEs), who are the backbone of our economy?** With the low execution rate on development budgets that were meant to propel business growth, is the government committed to seeing SMEs succeed? Where is the urgency in unlocking funding, reducing barriers, and expanding access to the capital that our entrepreneurs desperately need to thrive?

This Mid-Year Budget Review must do more than stabilize—it must

It is concerning, Honorable Speaker, that the progress on urban land servicing, as well as the rollout of prepaid water and electricity meters, has been protracted. Such delays have real consequences for the quality of life of our citizens and create barriers to urban economic development, which is essential for Namibia's growth and prosperity.

Similarly, while I acknowledge the commendable efforts to improve water infrastructure in rural areas, particularly in light of our recurrent drought conditions, it is imperative that we accelerate these projects. Further, we should actively explore innovative approaches to ensure long-term water security for our communities.

Let us, Honourable Speaker, commit to reforms that not only address immediate needs but lay the foundation for a robust, resilient economy that genuinely benefits all Namibians.

The expansion of rural electrification is crucial for equitable development, but the pace seems slow given our national ambitions. We need to explore more aggressive strategies, including public-private partnerships, to achieve universal electrification.

Honourable Speaker, Honourable Members, after reviewing the Minister's speech and the Medium Term Expenditure Framework, I cannot help but ask the following:

1. **How will this Budget Review alleviate the relentless financial assault on Namibian households?** With inflation still a persistent force, even at a reduced rate, ordinary citizens cannot absorb the relentless rises in basic food, electricity, and transportation costs. Is there a concrete plan to shield household incomes, or is economic recovery only an aspiration for

decisive action to address these crises. We must act now to secure a stable, prosperous future for all Namibians.

The allocation of N$139.0 million to extend the Conditional Basic Income Grant (CBIG) to additional qualifying beneficiaries in urban localities is a positive move towards addressing urban poverty. However, we must ensure that this program is sustainable and effectively targeted, and that intended beneficiaries do actually receive the grant.

The additional N$1.0 billion allocated to various ministries for goods and services raises questions about the initial budgeting process. While some of these allocations address critical needs, such as health emergencies and education, we must scrutinize whether these represent genuine unforeseen circumstances or shortcomings in our budget planning. I must also ask the Hon. Shiimi, how it is possible that the Electoral Commission of Namibia fell short of its initial budget, with N$200 million. A body mandated to facilitate a constitutional exercise as crucial as voting how they could not plan in advance?

The Minister reports a reduction in the total public debt stock from 65.1% of GDP in FY2023/24 to an estimated 62.1% in FY2024/25. While this trend is positive, we must remain vigilant. The projected debt ratio of 57.8% by the end of the MTEF period is still high by historical standards and leaves little fiscal space to respond to future shocks.

Honorable Speaker, I commend the Minister's commitment to addressing our economic policy priorities, particularly through the introduction of tax relief measures, the tax amnesty program, and initiatives in housing and education. These are indeed constructive steps. However, to achieve meaningful economic transformation, it is essential that we adopt a more ambitious pace and deepen the scope of these reforms.

effectiveness over complacency. The era of excuses must end—our people demand results, and it is our duty to deliver nothing less.

The drought crisis demands immediate and decisive action. The N$698.8 million allocation for drought relief provisions, while commendable, is woefully inadequate given the catastrophic scale of this disaster. Our farmers are facing unprecedented challenges, with many on the brink of financial ruin. As reported in The Namibian Sun, "Farmers in the Kunene region have lost over 60% of their livestock due to the prolonged drought" (The Namibian Sun, 2023). This is not just a statistic; it represents shattered livelihoods and a threat to our national food security. We must dramatically increase support for drought-stricken farmers. This includes not only emergency relief but also long-term investments in climate-resilient agriculture. The Namibia Economist recently highlighted that "Without significant intervention, the agricultural sector faces potential collapse in drought-affected regions" (Namibia Economist, 2023). We cannot afford to let this happen. The housing crisis in our urban areas is equally dire and demands immediate attention. The current situation, where hardworking Namibians struggle to find affordable housing, is unacceptable and unsustainable. We must prioritize the development of affordable housing solutions in our urban areas.

This requires bold action, including substantial resource allocation and targeted support for low-income households. We need a comprehensive, long-term strategy that includes urban planning reforms, zoning changes to promote higher density development, and innovative financing mechanisms to make homeownership accessible to all. The time for half-measures and incremental changes has passed. Our citizens deserve bold,

economic stability.

While we welcome the upward revision of total revenues by N$1.7 billion to N$92.1 billion for FY2024/25, this moment calls for rigorous scrutiny—not celebration. The reality remains that our development budget execution rate, sitting at a dismal 37.4% halfway through the fiscal year, is not just disappointing—it is a glaring failure that hampers our potential for sustainable growth and delays the delivery of essential public services.

Honorable Minister, it is about time we introduced and implemented with speed accountability tools for this chronic underspending. The funds intended for crucial infrastructure projects are not there to gather dust; they are allocated with the purpose of transforming lives, creating jobs, and spurring economic development. Yet, here we are, with substantial sums left unspent due to what can only be described as inefficiencies, bureaucratic inertia, and an evident lack of urgency.

The Minister's acknowledgment of revenue risks tied to volatile SACU incomes and a faltering diamond sector is necessary, but caution alone is not a strategy. We need a well-defined, resilient fiscal approach that shields our economy from external shocks and prevents overreliance on unstable revenue streams. This includes fast-tracking policies that encourage private sector growth, diversifying our tax base, and setting enforceable accountability measures for those responsible for implementing the national budget.

To continue with low execution rates and missed development targets not only fails our economy but fails the Namibian people who rely on us to deliver. It is time to turn words into action, prioritizing execution and

revolutionize our approach to the economy, dismantling the bureaucratic obstacles and inefficiencies that deny prosperity to the people. We need a budget that confronts, empowers, and delivers for all Namibians, or we risk losing any claim to the people's trust.

In conclusion, Honourable Speaker, while the Mid-Year Budget Review presents some positive developments, it also highlights significant challenges that require bold and innovative solutions. As we move forward, we must balance fiscal prudence with the urgent need for economic transformation and social progress. Our decisions today will undoubtedly shape the Namibia of tomorrow, and we must ensure that we are building a foundation for sustainable and inclusive growth.

I so submit.